



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

SB 1180: DOR; income tax forms; conformity

OLSON SUBSTITUTE FLOOR AMENDMENT

1. Requires the Department of Revenue (DOR) to supplement the income tax forms and instructions if nonconformity occurs and provides deadlines for when they are to be published.
2. Includes a citation to the itemized deduction statute for DOR to consider when prescribing the forms and instructions.
3. Includes addressing the abatement of penalties and interest due to nonconformity that DOR needs to address in the published forms and instructions.
4. Includes a legislative intent clause.
5. Makes technical changes.

VINCE PEREZ

6/11/2026

(602) 926-3848

OLSON SUBSTITUTE FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1180

I move the following SUBSTITUTE amendment to the WAYS & MEANS Committee Amendment to SENATE BILL 1180 (Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.
~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 43-107, Arizona Revised Statutes, is amended
3 to read:

4 43-107. Nonconformity in application of internal revenue
5 code; abatement of penalties and interest; form and
6 instruction preparation; definitions

7 A. Notwithstanding sections 42-1123 and 42-1125, ~~no~~ interest or
8 penalty may NOT be assessed on a nonconformity deficiency if all of the
9 following are true for a taxable year:

10 1. The taxpayer filed a return and paid the taxes due, relying on
11 the department's published forms and instructions.

12 2. Conformity does not occur.

13 3. The department supplements ~~its~~ THE published forms and
14 instructions related to nonconformity and requires the taxpayer to file an
15 amended return.

16 4. ~~[By the extended due date of the next taxable year's return]~~ [ON
17 OR BEFORE THE EXTENDED RETURN DUE DATE FOR THE SECOND YEAR FOLLOWING THE
18 CLOSE OF THAT TAXABLE YEAR], the taxpayer amends ~~its~~ THE TAXPAYER'S return
19 to report the nonconformity deficiency and pays the additional tax in the
20 manner prescribed by the department.

21 [B. IF NONCONFORMITY OCCURS FOR A TAXABLE YEAR, THE DEPARTMENT
22 SHALL SUPPLEMENT THE PUBLISHED FORMS AND INSTRUCTIONS RELATING TO
23 NONCONFORMITY AS FOLLOWS:

24 1. FOR NONCONFORMITY AS PRESCRIBED BY SUBSECTION D, PARAGRAPH 2,
25 SUBDIVISION (a) OF THIS SECTION ENACTED ON OR BEFORE FEBRUARY 15 OF THE
26 YEAR FOLLOWING THE CLOSE OF THAT TAXABLE YEAR, THE SUPPLEMENTAL FORMS AND
27 INSTRUCTIONS SHALL BE PUBLISHED AS QUICKLY AS PRACTICABLE.

1 2. FOR NONCONFORMITY AS PRESCRIBED BY SUBSECTION D, PARAGRAPH 2,
2 SUBDIVISION (a) OF THIS SECTION ENACTED FROM AND AFTER FEBRUARY 15 OF THE
3 YEAR FOLLOWING THE CLOSE OF THAT TAXABLE YEAR, THE SUPPLEMENTAL FORMS AND
4 INSTRUCTIONS SHALL BE PUBLISHED ON OR BEFORE JANUARY 1 OF THE SECOND YEAR
5 FOLLOWING THE CLOSE OF THAT TAXABLE YEAR.

6 3. FOR NONCONFORMITY AS PRESCRIBED BY SUBSECTION D, PARAGRAPH 2,
7 SUBDIVISION (b) OF THIS SECTION, THE SUPPLEMENTAL FORMS AND INSTRUCTIONS
8 SHALL BE PUBLISHED ON OR BEFORE JULY 15 OF THE SECOND YEAR FOLLOWING THE
9 CLOSE OF THAT TAXABLE YEAR.]

10 ~~[B.]~~ [C.] Notwithstanding section 42-1123, the department shall not
11 pay interest on refunds resulting from an amended return related to
12 nonconformity unless the refund is paid more than sixty days after the due
13 date set forth in subsection A, paragraph 4 of this section or filing
14 date, whichever is later.

15 ~~[C.]~~ [D.] For the purposes of this section:

16 1. "Conformity" means an amendment to section 43-105 that results
17 in adoption of the definition of the internal revenue code for the taxable
18 year.

19 2. "Nonconformity" means either:

20 (a) Conformity plus another amendment to this title that does not
21 conform to specific provisions of the internal revenue code as defined in
22 section 43-105 for the taxable year.

23 (b) No amendment to section 43-105 for the taxable year.>>

24 Sec. 2. Title 43, chapter 3, article 2, Arizona Revised Statutes,
25 is amended by adding section 43-329, to read:

26 43-329. Returns; form and instruction preparation; conformity
27 assumption; definitions

28 A. PURSUANT TO SECTION 43-102, FOR THE PURPOSES OF PRESCRIBING THE
29 FORMS AND INSTRUCTIONS REQUIRED FOR A TAXPAYER TO FILE A RETURN PURSUANT
30 TO THIS TITLE, THE DEPARTMENT SHALL ASSUME THAT THE LEGISLATURE WILL ENACT
31 AN AMENDMENT TO SECTION 43-105 THAT RESULTS IN CONFORMITY TO THE
32 PROVISIONS OF THE INTERNAL REVENUE CODE, BUT ONLY TO THE EXTENT THOSE
33 PROVISIONS AFFECT FEDERAL ADJUSTED GROSS INCOME OR FEDERAL TAXABLE INCOME
34 [AND IMPLEMENT SECTION 43-1042]. IF THE LEGISLATURE ENACTS NONCONFORMITY,
35 THE DEPARTMENT SHALL SUPPLEMENT THE PUBLISHED FORMS AND INSTRUCTIONS
36 RELATED TO THE NONCONFORMITY [PURSUANT TO SECTION 43-107].

37 B. FOR THE PURPOSES OF THIS SECTION, "CONFORMITY" AND
38 "NONCONFORMITY" HAVE THE SAME MEANINGS PRESCRIBED IN SECTION 43-107.

39 <<Sec. 3. Legislative intent

40 [It is the intent of the legislature to establish a consistent
41 conformity cycle that:

42 1. Provides taxpayers and tax professionals with timely and
43 reliable tax forms and instructions.

44 2. Allows the legislature sufficient opportunity to review and
45 determine whether federal tax law changes should be adopted for Arizona
46 income tax purposes.

47 3. Reduces administrative burdens on the department of revenue.

1 4. Minimizes midyear revisions to income tax forms, filing
2 requirements, software programming and taxpayer guidance.
3 5. Preserves the legislature's authority to adopt, reject or modify
4 federal income tax law changes while providing certainty regarding the
5 taxable year to which such changes apply.]>>

6 Enroll and engross to conform

7 Amend title to conform

JUSTIN OLSON

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